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Abbott Laboratories

Beats becoming more likely in 2027

Reiterate Rating: BUY | PO: 115.00 USD | Price: 100.51 USD

~6% 2027 growth a floor, ABT positioning for beat/raises

With Q4 and 2027 Street estimates coming down, we think the set up for Abbott Laboratories (ABT) appears now more attractive. We think investors likely need to gain confidence, this is the last cut, but ABT's pipeline likely helps that. ABT is pointing to 2027 growth of 6% (similar to 2026) though expects growth to accelerate. We think ABT is taking a new, more conservative approach to guidance after recent revenue misses and views this 6% growth as a floor it has high confidence in beating. With lower expectations for key growth drivers such as EP, Cancer Dx, and Libre, we think the quarters ahead are likely to become cleaner. There are also several upcoming catalysts (CMS T2 NIT, Cologuard+ reimbursement clarity, TCT data) and product launches (Amulet 360, Volt ramp, TactiFlex Duo, coronary IVL, Libre Duo). We reiterate our Buy.

Separating nutrition accretive to ABT's total valuation

ABT announced its intent to separate Nutrition business by end of 2027 (see our note: Q3 quick takes). Our SOTP analysis inside suggests this is 4-5% accretive to ABT's total valuation. We think comps for nutrition are at a mid-teens PE multiple. We think ABT standalone multiple expands a turn from higher revenue growth ex-nutrition. We estimate the spin is 1-2% dilutive to EPS from standup costs but the multiple expansion is ~6% accretive and more than offsets EPS dilution.

Key segments for potential upside to 2027 growth

We think our 2027 growth rates by segment are now rebased in line with 2026 performance or below. We model EXAS +12% in 2027 (vs +13.5% in 2026). We model Nutrition +3% in 2027 (vs +2% in 2026 but will benefit from easier comp). We model CRM +7.5% in 2027 (vs ~10.5% in 2026). We model WW EP +18% in 2027 (ex LAAC EP already growing high teens in Q3 without full Volt benefit and LAA h/w flips to t/w). We model WW Libre +5% in 2027 (vs +7% in 2026) with potential upside from CMS T2 NIT reimb, OUS basal reimb expansion, a payor contract win, and Libre Duo. See more inside.

Estimates (Dec) (US$)	2024A	2025A	2026E	2027E	2028E
EPS	4.67	5.14	5.51	5.90	6.38
GAAP EPS	7.63	3.71	2.48	2.64	3.12
EPS Change (YoY)	5.2%	10.1%	7.2%	7.1%	8.1%
Consensus EPS (Bloomberg)			5.52	6.01	6.63
Consensus EPS (Visible Alpha)			5.53	5.93	6.49
DPS	2.19	2.35	2.53	2.63	2.75
Valuation (Dec)					
P/E	21.5x	19.6x	18.2x	17.0x	15.8x
GAAP P/E	13.2x	27.1x	40.5x	38.1x	32.2x
Dividend Yield	2.2%	2.3%	2.5%	2.6%	2.7%
EV / EBITDA*	19.7x	17.9x	15.8x	14.5x	13.4x
Free Cash Flow Yield*	3.7%	4.3%	3.7%	4.4%	4.8%

* For full definitions of *IQmethod*℠ measures, see page 9

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Refer to important disclosures on page 10 to 12. Analyst Certification on page 8. Price Objective Basis/Risk on page 8. 13031248

22 October 2026

Equity

Key Changes

(US$)	Previous	Current
2026E Rev (m)	50,223.7	49,964.7
2027E Rev (m)	54,503.2	53,722.9
2028E Rev (m)	58,327.7	56,946.5
2027E EPS	6.06	5.90
2028E EPS	6.69	6.38
2026E DPS	2.51	2.53

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Stock Data

Price	100.51 USD
Price Objective	115.00 USD
Date Established	16-Jul-2026
Investment Opinion	B-1-7
52-Week Range	81.97 USD - 132.03 USD
Mrkt Val (mn) / Shares Out (mn)	173,921 USD / 1,730.4
Free Float	98.4%
Average Daily Value (mn)	987.34 USD
BofA Ticker / Exchange	ABT / NYS
Bloomberg / Reuters	ABT US / ABT.N
ROE (2026E)	18.3%
Net Dbt to Eqty (Dec-2025A)	8.4%

Abbreviations inside.

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*iQ*profile℠ Abbott Laboratories

*iQ*method℠ – Bus Performance*

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	12.9%	11.9%	12.0%	12.1%	12.9%
Return on Equity	18.8%	17.9%	18.3%	19.4%	20.6%
Operating Margin	22.2%	23.2%	23.3%	23.8%	24.2%
Free Cash Flow	6,351	7,395	6,508	7,710	8,398

*iQ*method℠ – Quality of Earnings*

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.0x	1.1x	0.9x	1.0x	1.0x
Asset Replacement Ratio	0.7x	0.7x	0.4x	0.4x	0.4x
Tax Rate	NM	18.0%	13.4%	7.0%	7.6%
Net Debt-to-Equity Ratio	13.6%	8.4%	49.7%	42.6%	34.5%
Interest Cover	43.2x	NM	12.1x	10.7x	11.5x

Income Statement Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	41,950	44,328	49,965	53,723	56,947
% Change	4.6%	5.7%	12.7%	7.5%	6.0%
Gross Profit	23,579	25,151	28,666	30,987	32,903
% Change	5.8%	6.7%	14.0%	8.1%	6.2%
EBITDA	10,635	11,735	13,271	14,526	15,626
% Change	4.4%	10.3%	13.1%	9.5%	7.6%
Net Interest & Other Income	351	461	(293)	(580)	(580)
Net Income (Adjusted)	**8,167**	**8,987**	**9,596**	**10,268**	**11,118**
% Change	**5.1%**	**10.0%**	**6.8%**	**7.0%**	**8.3%**

Free Cash Flow Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	16,035	8,820	9,833	11,374	12,221
Depreciation & Amortization	3,218	3,116	4,382	5,083	5,186
Change in Working Capital	(9,217)	(798)	(1,106)	(587)	(726)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(1,478)	(1,572)	(4,670)	(6,084)	(6,084)
Capital Expenditure	(2,207)	(2,171)	(1,930)	(2,076)	(2,200)
Free Cash Flow	**6,351**	**7,395**	**6,508**	**7,710**	**8,398**
% Change	**25.5%**	**16.4%**	**-12.0%**	**18.5%**	**8.9%**
Share / Issue Repurchase	(1,031)	(497)	(1,006)	200	200
Cost of Dividends Paid	(3,836)	(4,116)	(4,398)	(4,584)	(4,799)
Change in Debt	(537)	(1,614)	17,101	0	0

Balance Sheet Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	7,616	8,522	6,608	9,934	13,732
Trade Receivables	6,925	7,929	9,130	9,605	10,179
Other Current Assets	9,115	9,545	10,848	11,171	11,609
Property, Plant & Equipment	10,658	11,816	13,010	13,366	13,744
Other Non-Current Assets	47,100	48,901	70,204	66,840	63,476
Total Assets	**81,414**	**86,713**	**109,799**	**110,916**	**112,740**
Short-Term Debt	1,500	3,033	3,005	3,005	3,005
Other Current Liabilities	12,657	13,463	14,817	15,029	15,315
Long-Term Debt	12,625	9,896	29,603	29,603	29,603
Other Non-Current Liabilities	6,731	7,550	10,036	10,036	10,036
Total Liabilities	**33,513**	**33,942**	**57,461**	**57,673**	**57,959**
Total Equity	**47,901**	**52,771**	**52,338**	**53,243**	**54,781**
Total Equity & Liabilities	**81,414**	**86,713**	**109,799**	**110,916**	**112,740**

* For full definitions of *iQ*method℠ measures, see page 9.

Company Sector

Medical Technology

Company Description

Abbott Laboratories is a leading diversified global healthcare company that develops, manufactures and markets branded generics, medical devices, nutritional products, and diagnostic solutions.

Investment Rationale

We expect ABT to continue to grow underlying earnings in the double-digit range on the base business and to grow organic revenue in the high single digit range (excluding COVID testing). We think given growth profile ABT should trade at a higher multiple than its medtech peers.

Stock Data

Average Daily Volume	9,823,282

Quarterly Earnings Estimates

	2025	2026
Q1	1.09A	1.15A
Q2	1.26A	1.31A
Q3	1.30A	1.42A
Q4	1.50A	1.64E

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EP ex LAA 23% growth in Q4 and 18.5% in 2027

WW EP grew high teens ex LAA and US EP grew over 20% ex LAA following FMR of Volt in August. In Q4, Volt will have full quarter impact from FMR in US, TactiFlex Duo starts to contribute, Volt launches in Japan (flips from headwind to tailwind in Q4). US Volt launch is going as planned with Sept showing meaningful acceleration vs July and August trends. We model WW EP ex LAA of 23% in Q4 and 18.5% in 2027. Given LAA market headwinds and order pausing ahead of Amulet 360 launch, we now model EP including LAA to be 20% in Q4 (vs 25% prior). We now model EP incl LAA of 18% in 2027 (23% in Q1, 20% in Q2, 16% in Q3, 14% Q4) with LAA flipping from a headwind to a tailwind.

Moving parts on Q4 guide changes ex EP and EXAS

We now model total ABT growth of 8% in Q4 (vs 10% prior) driven by changes in SH, core lab dx, rapid dx, and neuromod. Today, EW announced FDA approval of Pascal TR, which we expect to gain traction against Mitraclip in Q4. As a result, we now model Q4 SH of 4% y/y (vs 8% prior). We model some conservatism in core lab dx with 6% y/y in Q4 (vs 8% prior). We model neuromod flat y/y in Q4 (vs 4.5% prior). US neuromod declined in past two quarters due to commercial execution issues, however, we expect this to return to flat in Q4 and market growth in Q1'27 (~3%). We model rapid dx flat in Q4 (vs 2% prior), taking a cautious outlook on this year's flu season. Last year's flu season was weak which makes it an easier comp this year, but we leave room for upside if this year ends up average or above average (currently tracking avg to above avg, but too early to call a trend).

Libre OUS price cut; no US T2 reimb barrier to growth

OUS Libre is seeing more competition from lower-cost Chinese competitors. While there are still notable gaps in performance, user friendliness, and form factor, ABT decided to take price down in some markets to prevent competitors from getting traction as it has seen in Russia (ABT still has a healthy price premium). In the US there is no pricing pressure, but ABT is seeing pressure in T2 penetration without reimbursement. TRx growth has been slowing to LSD% in the US but ABT has been able to grow faster because of sales to MMED, price, and Lingo. CMS T2 NIT reimbursement, OUS basal reimbursement expansion, competitive conversions from a payor contract win (details below), and a faster ramp for Libre Duo are all sources of upside to diabetes growth if any of those tailwinds hit in 2027.

CGM contract win more potential upside to Libre in FY27

ABT won a major payor contract (Zinc, the GPO arm of CVS/Aetna) that will go into effect Jan 1st, 2027. This was previously a sole DXCM contract, but will now flip to sole ABT. This means that on Jan 1, 2027, individuals under those plans will lose coverage for DXCM and only be covered for ABT. There are some pathways for exemptions if an endo thinks the patient's life is at risk from converting, but that is hard to prove with a CGM. We note patients could also not switch and just pay a higher copay. ABT has also left the tailwind from customers switching post-coverage change as upside.

DXCM still advantaged or co-preferred within other CVS Caremark contracts

Within each channel there are nuances in terms of formulary positioning. DXCM is advantaged in certain plans, co-preferred in others and disadvantaged in some. For 2027, CVS Caremark is expected to make formulary changes that will impact certain commercial PBMs in their network. There will still be other contracts within CVS Caremark where DXCM is advantaged or co-preferred. Additionally, there are other contracts outside of CVS moving to DXCM advantaged in 2027. DXCM is broadly covered across commercial, Medicare and Medicaid channels, and has teams assisting customers and clinicians when changes to plans occur. Also, the financial impact is often limited when there are formulary changes, because the net price to the manufacturer changes with the positioning.

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Cologuard+ reimbursement likely stable; possible slight increase

Cologuard+ CY27 reimbursement likely won't go down (preliminary CMS rule indicated ~15% cut). The preliminary rule temporarily assigned Cologuard+ down to original Cologuard reimbursement rates. When the final rate comes out the 1st week of December, there will likely be no change from existing reimbursement, and there is a small chance it could increase.

Volt launch ramping as expected, adverse events rates comparable to peers

Volt roll out is going to plan and September showed a meaningful acceleration vs July and August (didn't go into FMR until August). On MAUDE, ABT is aware of the events, but Volt has comparable event rates vs. other PFA catheters when looking at the #s on a per procedure basis (adjusting for volume.) ABT does not see any design issues with Volt and has no intention on changing the device/adjusting launch.

Our nutrition SOTP

Given announcement of intent to separate nutrition business by year end of 2027, we update our SOTP analysis on what this means for RemainCo ABT in 2028.

Assumptions on nutrition business

We assume Nutrition gross margins of 45.5%. We assume nutrition standup costs of $150m and stranded costs offset by TSAs on RemainCo. We also assume 25% of nutrition revs in SG&A and 2.5% revs used in R&D. We estimate depreciation at ~2% of sales using $175m of depreciation in Nutrition in 2025 over revenues of $8.451bn. We assume nutrition takes on $3.3bn of net debt. We use a 15.5x P/E multiple for Nutrition business. We use Danone, Nestle, Reckitt in one bucket of comps trading on average at 14.7x CY2028 P/E and another bucket is Conagra, Mondelez, PepsiCo, and Coca-Cola which are currently trading on average at 16.5x CY2028 P/E. Using 15.5x our estimate for nutrition standalone earnings, we see nutrition contributing $10/share to our SOTP.

Value created for RemainCo

Our SOTP analysis shows that ABT RemainCo growth accelerates 60bps to 6.6% from 6.0%, gross margins goes to 60.1% from 57.8% and op margin goes to 25.4% from 24.2% in 2028. We assume ABT pays down $3.3bn of debt at 4.7% interest rate using Nutrition's cash distribution, reducing interest expense by $154m on RemainCo ABT in 2028. ABT is currently trading at 15.8x our 2028 EPS of $6.38. We think RemainCo could trade a turn higher with 60bps higher growth. Using 16.8x RemainCo EPS of $5.66, we arrive at a RemainCo share price of $95. We see $105/share of combined value ($95 RemainCo + $10 Nutrition) vs ABT at $101, implying 4-5% upside potential from the separation.

Exhibit 1: ABT nutrition spin model with 15.5x P/E for Nutrition
SOTP analysis on Nutrition spin

2028 Estimates	ABT TotalCo	Nutrition	RemainCo
Revenues	**56,947**	**9,160**	**47,786**
COGS	(24,043)	(4,992)	(19,051)
Gross Profit	**32,903**	**4,168**	**28,735**
SG&A	(15,286)	(2,290)	(12,996)
R&D	(3,814)	(229)	(3,585)
Stranded/standup costs		(150)	-
Operating Income	**13,803**	**1,499**	**12,155**
(+) Depreciation	1,822	190	1,633
EBITDA	**15,626**	**1,688**	**13,787**
Interest Expense, net	(1,200)	(198)	(1,046)
Net foreign exchange (gain) loss	-	-	-
[illegible]ne (expense), net	620	-	620

SpinCo debt raise	
Nutrition to take on debt	3,300
Nutrition EBITDA	1,688
Nutrition net leverage post spin	2.0x
Total proceed to ABT	**3,300**

RemainCo capital deployment	
Debt Paydown	(3,300)
Interest Rate	4.7%
Interest Expense	(154)
Share Buyback	-
Share Price	$110
Shares Bought Back	-

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Exhibit 1: ABT nutrition spin model with 15.5x P/E for Nutrition
SOTP analysis on Nutrition spin

Pre Tax Income	13,223	1,301	11,729
Tax Expense	(2,050)	(208)	(1,818)
Net Income	**11,174**	**1,093**	**9,911**
Diluted EPS	**$6.38**	**$0.62**	**$5.66**
Shares	*1,749.9*	*1,749.9*	*1,749.9*

Margin assumptions			
Gross Margin	57.8%	45.5%	60.1%
SG&A as % of sales	26.8%	25.0%	27.2%
R&D as % of sales	6.7%	2.5%	7.5%
Operating Margin	24.2%	16.4%	25.4%
EBITDA Margin	27.4%	18.4%	28.9%
Tax Rate	15.5%	16.0%	15.5%

	ABT TotalCo	Nutrition	RemainCo
2028 organic revenue growth est	6.0%	3.0%	6.6%
PE ratio assumption	15.8x	15.5x	16.8x
PE * EPS	**$101**	**$10**	**$95**

RemainCo leverage	
2027 YE Net Debt Pre-paydown	22,175
Debt Paydown	(3,300)
2027 YE Net debt	18,875
2027 EBITDA	13,787
Net Debt/EBITDA	**1.4x**

Source: Company filings, BofA estimates; We assume nutrition issues $3.3bn of debt and passes through proceeds to ABT. We estimate a 16% tax rate for nutrition business in 2028. We use Danon, Nestle, Reckitt in one bucket of comps trading on average at 14.7x CY2028 P/E and another bucket is Conagra, Mondelez, PepsiCo, and Coca-Cola which are currently trading on average at 16.5x CY2028 P/E. we estimate $150m in stand up costs for separated nutrition business and TSAs to offset stranded costs on RemainCo.

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Exhibit 2: We look at Danone, Nestle, Reckitt in one bucket of comps trading on average at 14.7x CY2028 P/E and another bucket is Conagra, Mondelez, PepsiCo, and Coca-Cola which are currently trading on average at 16.5x CY2028 P/E for our SOTP analysis
Comp table for ABT nutrition b

		Sales			EV/Sales			Revenue Growth			EPS			P/E			EPS Growth		
Company	**Ticker**	**CY26E**	**CY27E**	**CY28E**	**CY26E**	**CY27E**	**CY28E**	**CY26E**	**CY27E**	**CY28E**	**CY26E**	**CY27E**	**CY28E**	**CY26E**	**CY27E**	**CY28E**	**CY26E**	**CY27E**	**CY28E**
Danone SA	BN	28,110	29,401	30,528	1.8x	1.7x	1.7x	3%	5%	4%	3.93	4.21	4.50	15.5x	14.4x	13.5x	4%	7%	7%
Nestle SA	NESN	90,017	92,190	94,532	3.0x	3.0x	2.9x	0%	2%	3%	4.44	4.74	5.04	18.8x	17.6x	16.6x	4%	7%	6%
Reckitt Benckiser Group PLC	RKT	13,065	13,521	13,934	3.3x	3.2x	3.1x	(8%)	3%	3%	3.36	3.59	3.84	16.2x	15.1x	14.1x	(7%)	7%	7%
Average core comps					**2.7x**	**2.6x**	**2.6x**	**(2%)**	**3%**	**3%**				**16.8x**	**15.7x**	**14.7x**	**0%**	**7%**	**7%**
Median core comps					**3.0x**	**3.0x**	**2.9x**	**0%**	**3%**	**3%**				**16.2x**	**15.1x**	**14.1x**	**4%**	**7%**	**7%**

		Sales			EV/Sales			Revenue Growth			EPS			P/E			EPS Growth		
Company	**Ticker**	**CY26E**	**CY27E**	**CY28E**	**CY26E**	**CY27E**	**CY28E**	**CY26E**	**CY27E**	**CY28E**	**CY26E**	**CY27E**	**CY28E**	**CY26E**	**CY27E**	**CY28E**	**CY26E**	**CY27E**	**CY28E**
Conagra Brands Inc	CAG	10,943	10,765	10,842	1.3x	1.3x	1.3x	(3%)	(2%)	1%	1.44	1.46	1.52	9.8x	9.6x	9.2x	(22%)	2%	4%
Mondelez International Inc	MDLZ	40,109	41,249	42,714	2.5x	2.4x	2.4x	5%	3%	4%	3.05	3.36	3.62	20.6x	18.7x	17.3x	5%	10%	8%
PepsiCo Inc	PEP	98,524	102,042	103,714	2.3x	2.2x	2.2x	6%	4%	2%	8.29	8.59	8.96	16.3x	15.7x	15.0x	3%	4%	4%
Coca-Cola Co/The	KO	49,825	49,853	52,305	8.6x	8.6x	8.2x	3%	0%	5%	3.31	3.52	3.77	28.0x	26.3x	24.6x	11%	7%	7%
Average					**3.7x**	**3.6x**	**3.5x**	**3%**	**1%**	**3%**				**18.7x**	**17.6x**	**16.5x**	**(1%)**	**5%**	**6%**
Median					**2.4x**	**2.3x**	**2.3x**	**4%**	**1%**	**3%**				**18.4x**	**17.2x**	**16.2x**	**4%**	**5%**	**6%**

Source: BofA Global Research, Bloomberg.

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Exhibit 3: Data points on stand-up, transition services agreement (TSA), and stranded costs from spin-offs
Below we review company commentary on stand-up, TSA, and stranded costs from recent spin-offs

ZBH /ZIMV	GE /GEHC	BDX /EMBC
Stand-up costs: ZIMV talked about $61m in stand-up costs: "there's about $61m stand-up cost at corporate. And what that $61m represents is, it represents obviously standing up the business as a standalone company including of course, executive management, public company costs, and then also the cost of standing up insurance. And so, in that $61m that number just from like a high-level perspective, is probably about $10m to $13m higher than what it would be under Zimmer Biomet embedded in that company" - 2/7/22	**Stand-up costs:** GEHC estimated $228m in stand-up costs for 2022 and $200m for 2023; in addition, GEHC estimated $113m in recurring costs for 2022 and $200m for 2023: "incur approximately $341m of total expenses (including one-time expenses of approximately $228m and recurring expenses of $113m) for the year ended December 31, 2022" - 6/8/23; and " $200m of standalone costs, in 2023, we expect an estimated $200m of those recurring incremental expenses ... expect we'll see leverage against these $200m of incremental recurring	**TSAs:** EMBC expected TSAs of $70m in the first 12mos (4/1/22-4/1/23), weighted $35m in fiscal 2H22 and $35m in fiscal 1H23: "assuming we maintain every TSA during the first 12-month period, we will be charged a total of $70m or approximately $35m during the second half of 2022" - 5/13/22. EMBC disclosed $63m in TSAs in FY23 and guided for $30m-$35m in TSAs for FY24: "we incurred about $63m worth of TSA expense in 2023. And then our guidance assumes for 2024, inclusive of an extension being granted, that we would incur somewhere between, let's call it $30m to $35m worth of

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Below we review company commentary on stand-up, TSA, and stranded costs from recent spin-offs

ZBH /ZIMV	GE /GEHC	BDX /EMBC
TSAs: ZBH talked about ZIMV TSAs being lower than the stranded costs: "[Q:] TSA should be equal to the stranded cost, right, 75-ish, Suky? [A:] I wouldn't say it's a complete one-for-one there ... It'll be substantially lower than their stranded cost" - 2/7/22 **Stranded costs:** ZBH talked about $70-75m stranded costs for $1bn-revenue ZIMV	spin costs as we go into 2025 and '26, as we have fully exited on the TSA side" - 4/25/23	TSA expense in 2024" - 11/21/23; and "from a stand-up cost standpoint, I think we're not necessarily going to provide specific dollar amounts associated with each individual line item. ... obviously, from a TSA standpoint, as we begin to kind of stand up the company. Some of the TSAs could fall off" – 8/15/22 **Stranded costs:** BDX talked about TSAs offsetting BDX stranded costs: "Diabetes Care business ... we are establishing TSAs that will offset stranded costs" - 11/4/21

Source: Company filings, BofA Global Research

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Our ABT model updates

Exhibit 4: We update our model for ABT's Q3 actuals
Our previous versus new ABT estimates

Segment Growth	Q4 Prior	Q4 New	Delta	FY26 Prior	FY26 New	Delta	FY27 Prior	FY27 New	Delta
Comparable sales (incl. EXAS)	10.3%	8.0%	-221bps	6.5%	6.0%	-59bps	7.0%	6.0%	-99bps
EPD	8.5%	8.0%	-50bps	8.4%	8.5%	13bps	8.0%	7.5%	-50bps
Nutrition	15.6%	14.7%	-91bps	1.6%	1.7%	14bps	3.1%	3.1%	1bps
Comparable diagnostics	8.6%	6.3%	-228bps	5.1%	4.5%	-60bps	8.1%	6.5%	-161bps
Cancer (EXAS)	17.0%	13.9%	-309bps	14.8%	13.6%	-116bps	14.0%	12.0%	-200bps
Core lab	8.0%	6.0%	-199bps	5.0%	4.5%	-44bps	4.8%	4.8%	0bps
Rapid/molecular	2.0%	0.0%	-200bps	-3.6%	-3.9%	-34bps	3.0%	0.0%	-302bps
Total medical devices	9.9%	6.8%	-304bps	8.9%	7.8%	-107bps	8.3%	7.0%	-125bps
Cardiac rhythm management	9.0%	10.0%	104bps	9.7%	10.4%	64bps	7.0%	7.5%	50bps
Heart failure	8.5%	6.5%	-203bps	9.4%	8.3%	-117bps	6.1%	6.5%	36bps
y	25.0%	19.9%	-513bps	18.1%	15.5%	-256bps	18.8%	18.0%	-81bps
Vascular	4.5%	4.5%	2bps	4.7%	5.1%	33bps	3.5%	4.7%	122bps
Structural heart	8.0%	4.0%	-404bps	6.6%	5.4%	-120bps	6.2%	4.7%	-153bps
Neuromodulation	4.5%	0.0%	-455bps	3.5%	1.0%	-251bps	3.4%	3.0%	-47bps
Total Diabetes	8.0%	3.5%	-443bps	8.0%	6.6%	-137bps	7.7%	4.5%	-317bps
Libre	8.5%	4.0%	-448bps	8.4%	7.2%	-126bps	8.3%	5.0%	-329bps

Financials	Q4 Prior	Q4 New	Delta	FY26 Prior	FY26 New	Delta	FY27 Prior	FY27 New	Delta
Gross margin	58.8%	57.8%	-100bps	57.8%	57.4%	-39bps	58.1%	57.7%	-38bps
Operating margin	26.2%	26.4%	20bps	23.3%	23.3%	-1bps	24.0%	23.8%	-17bps
Tax rate	15.5%	14.8%	-70bps	15.4%	15.1%	-29bps	15.5%	15.6%	10bps
Non-operating items (total)	($142)	($131)	$11	($315)	($293)	$22	($560)	($580)	($20)
EPS	$1.65	$1.64	-$0.01	$5.51	$5.51	$0.00	$6.06	$5.90	-$0.16

Source: Company filings, BofA estimates

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Abbreviations:

EP: y

IVL: intravascular lithotripsy

PFA: pulse field ablation

CRM: cardiac rhythm management

Reimb: reimbursement

LAAC: left atrial appendage closure

MSD: mid single digits

HSD: high single digits

GM: gross margin

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OM: operating margin

DXCM: Dexcom

PBM: pharmacy benefit manager

CGM: continuous glucose monitor

EXAS: Exact Sciences

SH: Structural Heart

LAA: Left Atrial Appendage

FMR: full market release

T2: Type 2

NIT: non intensive

CMS: Centers for Medicare and Medicaid Services

Dx: diagnostics

EPD: Established Pharmaceuticals Division

SOTP: sum of the parts

CMS: Centers for Medicare and Medicaid Services

TCT: Transcatheter Cardiovascular Therapeutics

GPO: Group Purchasing Organization

TSA: transition service agreements

SG&A: sales, general and administrative

R&D: research and development

P/E: price to earnings

EPS: earnings per share

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Price objective basis & risk

Abbott Laboratories (ABT)
Our $115 PO is based on 19x our 2027E EPS. This multiple is a premium for a high-single-digit grower but ABT likely deserves a premium for its accelerating growth potential, balance sheet, above-average durability in recession, and portfolio optionality.

Downside risks to our PO are 1) potential Tariff headwinds, 2) product or pipeline setbacks, 3) lower-than-expected growth in emerging markets, 4) unfavorable FX moves.

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I, Travis Steed, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Medical Technology & Devices Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Abbott Laboratories	ABT	ABT US	Travis Steed
	Axogen, Inc.	AXGN	AXGN US	Travis Steed
	Boston Scientific	BSX	BSX US	Travis Steed
	Carlsmed	CARL	CARL US	Travis Steed
	Ceribell	CBLL	CBLL US	Travis Steed
	Dexcom	DXCM	DXCM US	Travis Steed
	Edwards Lifesciences	EW	EW US	Travis Steed
	Globus Medical	GMED	GMED US	Travis Steed
	Haemonetics Corporation	HAE	HAE US	Travis Steed
	Insulet	PODD	PODD US	Travis Steed
	Intuitive Surgical	ISRG	ISRG US	Travis Steed
	iRhythm Technologies	IRTC	IRTC US	Stephanie Elghazi
	Kestra Medical Technologies	KMTS	KMTS US	Travis Steed
	Medtronic	MDT	MDT US	Travis Steed
	MiniMed Group Inc	MMED	MMED US	Travis Steed
	Mobia Medical Inc	MOBI	MOBI US	Travis Steed
	Si-Bone	SIBN	SIBN US	Travis Steed
	Stryker	SYK	SYK US	Travis Steed
	Teleflex Incorporated	TFX	TFX US	Travis Steed
NEUTRAL				
	Baxter International Inc	BAX	BAX US	Travis Steed
	Becton Dickinson	BDX	BDX US	Travis Steed
	Beta Bionics	BBNX	BBNX US	Travis Steed
	GE HealthCare	GEHC	GEHC US	Travis Steed
	Merit Medical	MMSI	MMSI US	Travis Steed
	Solventum	SOLV	SOLV US	Travis Steed
	Tandem Diabetes Care	TNDM	TNDM US	Travis Steed
	The Cooper Companies	COO	COO US	Travis Steed
	Zimmer Biomet	ZBH	ZBH US	Travis Steed
UNDERPERFORM				
	Bausch & Lomb	BLCO	BLCO US	Travis Steed
	Conmed	CNMD	CNMD US	Travis Steed
	Embecta	EMBC	EMBC US	Travis Steed
	Inspire Medical	INSP	INSP US	Travis Steed
	Integra Lifesciences	IART	IART US	Travis Steed
	Procept BioRobotics Corporation	PRCT	PRCT US	Stephanie Elghazi
	RxSight	RXST	RXST US	Stephanie Elghazi

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Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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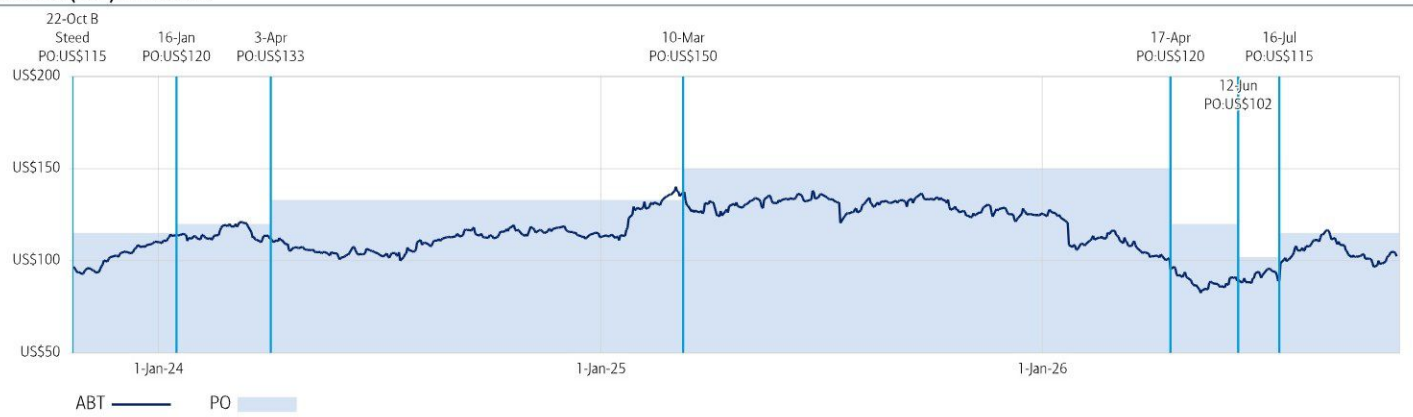
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Abbott Labs (ABT) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Health Care Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	243	62.15%	Buy	165	67.90%
Hold	77	19.69%	Hold	53	68.83%
Sell	71	18.16%	Sell	38	53.52%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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